



Cost rationalization in action

KIMS posted robust revenue growth on account of Sunshine & Kingsway merger with base business showing improvement of 60 bps at EBITDA level clearly indicating cost rationalization efforts fructifying. Turnaround of Sunshine will be key driver for KIMS overall EBITDA as there is big room to grow from 18% to 25% EBITDA once occupancy picks up at Sunshine. Management is further confident of closing one-two deals in upcoming quarters leveraging their healthy balance sheet & operating cashflows. Also management is looking at increasing its stake in certain subsidiaries thereby reducing its minority contribution.

Key Business Highlights

- Sunshine Hospitals have shown an improvement in occupancy from 39.5% in Q1FY23 to 42.6% in Q2FY23 whereas EBITDA has improved from 17% in Q1FY23 to 18% in Q2FY23. **(Positive)**
- Kingsway(Nagpur) with an annual revenue run rate of ~Rs.1700 Mn was merged w.e.f 1st September (1 month); Kingsway has ~10% EBITDA margin vs company average of ~26-27%. Near term it will be margin dilutive for the overall business but significant cost rationalisation along with increase in bed capacity at nominal cost can help generate operating leverage & thereby improve margins.
- Telanga (KIMS) margins have rationalised from peak levels in FY22 at 36% to 29% in Q2FY23; this is mainly because of lower occupancy & lower ARPOB **(Negative)**
- AP Mature assets continue to do well with assets generating close to 32% EBITDA margin with healthy occupancy level **(Positive)**

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	11,226	13,299	16,510	21,867	26,770
EBIDTA	2,450	3,709	5,160	6,034	7,577
Margins	21.8	27.9	31.3	27.6	28.3
PAT (adj)	1,192	2,012	3,329	3,296	4,265
Growth (%)	-	68.7	65.5	(1.0)	29.4
EPS	16.0	25.9	41.6	41.2	53.3
P/E (x)	97.6	60.2	37.6	37.9	29.3
P/B (x)	19.5	14.0	9.0	7.3	5.8
EV/EBITDA (x)	48.4	32.6	24.2	19.4	15.2
RoE (%)	19.9	23.3	24.0	19.2	19.9
ROCE (%)	19.9	27.3	28.6	25.5	26.4

Source: Dalal and Broacha

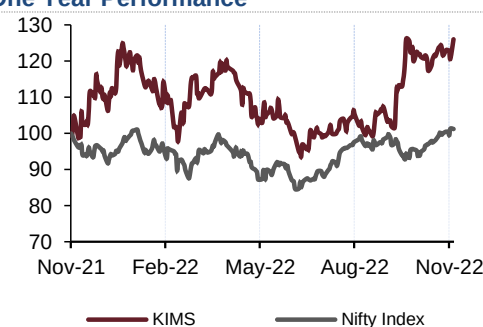
Rating	TP (Rs)	Up/Dn (%)
ACCUMALTE	1,722	10

Market data

Current price	Rs	1,560
Market Cap (Rs.Bn)	(Rs Bn)	121
Market Cap (US\$ Mn)	(US\$ Mn)	1,498
Face Value	Rs	10
52 Weeks High/Low	Rs	1,574 / 1,113
Average Daily Volume	('000)	57
BSE Code		543308
Bloomberg		KIMS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	38.84	38.84
Public	61.16	61.16
Total	100	100

Source: Bloomberg

Key Risk :

- High dependency on healthcare professionals
- High dependency on one facility
- Dependence on top doctors
- Cessation of lease
- Clinical negligence
- Government intervention

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- AP Acquired assets, Sunshine & Nagpur contributing ~Rs.9500 Mn to overall revenue with average EBITDA margin of ~9.5% are significantly lower than average company level EBITDA margin of ~26-27% ; will provide significant impetus to overall EBITDA in next 24-36 months ; Incremental EBITDA possible from these facilities at an assumed rate of 25% will be close to ~Rs. 1,500 Mn (Positive)
- Healthy cashflow from operations @ ~Rs.2,500 Mn in H1FY23 (Positive)

Key Financials Highlights

- Revenue (Excl OI) at INR 5,641 Mn, +37% YoY / +13.8% QoQ
Mainly on account of sunshine + Kingsway merger ; revenue growth was backed by strong IP Volumes (+28% YoY / +17.5% QoQ) and OP Volume growth (+33.8% YoY / +15.5% QoQ).
- Adj EBITDA (Excl OI, One-off item & IND AS 116) at INR 1,502 Mn, +17.4% YoY / +14.5% QoQ
- Adj EBITDA margin (Excl OI, One-off item & IND AS 116) at 26.6% vs 31.1% / 26.5% in Q2FY22 / Q1FY23
EBITDA showed an improvement of 0.6% on QoQ basis (Ex-Kingsway Nagpur)
- Adj PAT at INR 866 Mn, +6% YoY / +24% QoQ
- Adj EPS stood at INR 10.83 vs 10.21 / 8.74 in Q2FY22 / Q1FY23

Quarterly Financials

(Rs.Mn)	Q2FY23A	Q2FY22	YoY Growth (%)	Q1FY23	QoQ Growth (%)
Revenue from Operations	5,641	4,117	37%	4,955	14%
Other Income	92	54	70%	53	73%
Total RM Cost	1,253	855	47%	1,098	14%
Employee Benefits Expense	842	635	33%	833	1%
Other Expenses	2,022	1,339	51%	1,653	22%
Total Expenses	4,116	2,830	45%	3,584	15%
EBITDA (Excluding Other Income)	1,524	1,288	18%	1,372	11%
Depreciation and Amortisation Expenses	311	181	72%	294	6%
EBIT / PBIT	1,305	1,160	12%	1,131	15%
Finance Costs	79	29	173%	57	38%
EBT/ PBT	1,226	1,132	8%	1,074	14%
Tax Expense	314	289	9%	281	12%
Net Profit after Tax (Adjusted)	866	817	6%	700	24%
Earning Per Share (Adjusted)	10.8	10.2	6%	8.7	24%
Margins (%)					
EBITDA Margins (Excl Other Income)	27.0%	31.3%	-425	27.7%	-66
PAT Margins	15.4%	19.8%	-449	14.1%	124
As a % to sales					
RM as a % to sales	22.2%	20.8%	144	22.2%	6
EE Cost as a % to sales	14.9%	15.4%	-50	16.8%	-189
Other exps as a % to sales	35.8%	32.5%	331	33.4%	249
Key Operational Metrics					
IP Volumes	46,616	36,205	29%	39,673	18%
OP Volumes	3,75,188	2,80,385	34%	3,24,797	16%
ARPOB (Rs)	29,237	24,877	18%	30,192	-3%

Source: Dalal & Broacha Research

Did you know?

In a populous country like India occupancy is not a constraint but affordability is. KIMS is one of the lowest cost quality healthcare service providers with industry leading margins backed by consistent volumes driven by doctors who own equity in the company.

Key Operating Metrics

Particulars	FY18	FY19	FY20	FY21	FY22	FY23E	FY24E
Total Commissioned Beds (in No.s)	2,120	2,804	3,004	3,064	3,064	4,015	4,540
Incremental beds (in No.s)		684	200	60	-	951	525
Total Operational Census Bed Capacity (in No.s)	1,705	2,209	2,434	2,590	2,590	3,543	3,995
Incremental beds (in No.s)		504	225	156	-	953	452
Occupancy (On Operational Census Beds)	N.A.	N.A.	N.A.	78.6%	79.9%	65.6%	67.8%
IP Volume	88,600	1,11,382	1,40,676	1,16,520	1,36,746	1,68,386	2,01,003
OP Volume	6,61,000	9,00,043	11,37,560	8,30,211	10,13,759	12,48,319	14,90,124
ARPOB (in ₹)	18,832	18,344	18,323	20,599	25,206	30,200	31,710
ARPP (in ₹)	84,367	81,998	79,522	1,13,912	1,20,737	1,29,860	1,33,182
ALOS (in days)	4.48	4.47	4.34	5.53	4.79	4.30	4.20
Revenue	6,662	9,239	11,287	13,401	16,713	22,089	27,015
EBITDA	1,394	1,740	2,511	3,709	5,160	6,034	7,577
EBITDA (%)	20.9%	18.8%	22.2%	27.7%	30.9%	27.3%	28.0%

Source: Company, Dalal & Broacha Research

Management Concall KTAs

- **Minority Interest at :**
 EBITDA level (14%) : EBITDA Ex-Minority Interest (in INR): ~Rs.1,290 Mn for Q2FY23.
 PAT level (~6-7%) : PAT Ex-Minority Interest (in INR): ~Rs.805 Mn for Q2FY23.
- Increase in pledge by promoter group (to borrow funds at lower rate of interest for their personal real estate business) & not promoter ; promoter part of pledge likely to come down by next year .
- ARPOB to be remain in the range of INR 29,000-31,000.
- **Capex :**
Kondapur (Telangana) : to be operational in next 24-36 months at a capex of Rs.3,500 Mn spread over 3 years (500 beds)
Manavata (Nashik) : Progressing well & to be operational in next 12 months (325+ beds)
Thane : Still under evaluation process
- Mature hospitals continue to maintain 30%+ EBITDA margin ; in orthopaedic business can touch margins upward of 30%
- **Sunshine Update :**
Gachibowli : revenue is constant ; more doctors to join ; will touch occupancy of 60-65% .
Begumpet : to be operational from December end ; will contribute meaningfully to EBITDA from Q4FY23.
- Nagpur facility at 10% EBITDA margin ; high consumable & consultant cost ; will rationalise going forward ; Target EBITDA of 20%.

Valuation & Outlook

Q3 & Q4 are usually soft quarters for Hospital industry & operating leverage benefits do not accrue significantly. With cost rationalisation efforts taking place at new acquired hospitals (Sunshine + Kingsway Nagpur) we expect EBITDA margins to hover around 26-27% mark for next few quarters.

We expect merger benefits to fully accrue from FY24 onwards once Sunshine reaches 25% EBITDA margin from current +18% EBITDA level. Q3FY23 will be the first full quarter where we will see Kingsway Nagpur fully consolidated & will be margin dilutive in the near term as Kingsway is ~10% EBITDA margin vs company at ~26.5% EBITDA margin.

However, long term fundamental growth story continues remains intact & management is confident of closing further 1-2 deals in upcoming quarter to lay foundation for future growth. With healthy balance sheet & steady operating cashflows KIMS is all set for long term growth. We believe in a populous country like India, affordable quality healthcare is the need of the hour & KIMS is at the forefront trying to achieve that.

KIMS @ CMP of Rs.1,560 trades at 15x EV/EBITDA on FY24E ; we value KIMS at 17x EV/EBITDA on FY24E to arrive at a target price of Rs.1,722 implying at upside of 10%. We have increased our target price from 1,560 levels to 1,722 on back of merger benefits accruing in FY24. After the recent run up in the stock we recommend new investors to **ACCUMULATE** the stock on dips.

About the Company:

The company was incorporated as 'Jagjit Singh and Sons Private Limited', on July 26, 1973 at Mumbai. Until the year 2003, the company was owned, managed and controlled by Jagjit Singh and certain of his family members, who together owned the entire shareholding of the company. On February 15, 2003, acting in pursuance of the Takeover MoU, certain of their Promoters, namely Dr. Bhaskara Rao Bollineni and BRMH, along with certain other individuals and entities, acquired the entire equity share capital of the company (then 'Jagjit Singh and Sons Private Limited'). The company offers multidisciplinary healthcare services with primary, secondary, and tertiary care across 2-3 tier cities and an additional quaternary healthcare facility in tier-1 cities.

Dr. Bhaskara Rao Bollineni is the Promoter and Managing Director of the company. He has over 27 years of experience in cardiothoracic surgery and has in the past held various positions with Apollo Hospitals, Austin Hospital, University of Melbourne and Mahavir Hospital and Research Centre.

Anitha Dandamudi is the Whole-time Director of the company. She has over 16 years of experience in the hospital industry, having held various positions with the company, and has also served as vice president of administration at e-Talent Software Ltd.

Dr. Abhinay Bollineni is the Promoter and Executive Director of the company. He played a key role in establishing KIMS Kondapur in 2014.

Key Managerial Personnel:

Vikas Maheshwari is the Chief Financial Officer of the company. He has been associated with the company since May 1, 2017. He has over 24 years of experience in accounting, finance and treasury.

Umashankar Mantha is the Company Secretary and General Manager (Legal) of the company. He has been associated with the company since July 1, 2015. He has over 17 years of experience in the secretarial and legal sectors.

Amazing Fact about KIMS Hospital :

Nearly 300 doctors jointly own 9% equity in the company providing long term revenue visibility because doctors are the main revenue driver in hospital business

Financials

P&L (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net Sales	11,226	13,299	16,510	21,867	26,770
Raw Material Cost	(2,542)	(2,889)	(3,552)	(4,811)	(5,889)
Employee Cost	(1,980)	(2,202)	(2,619)	(3,527)	(4,271)
Other Expenses	(4,254)	(4,499)	(5,180)	(7,495)	(9,033)
Operating Profit (EBITDA)	2,450	3,709	5,160	6,034	7,577
Depreciation	(706)	(695)	(727)	(1,244)	(1,415)
PBIT	1,744	3,013	4,433	4,789	6,162
Other income	61	102	203	223	245
Interest	(399)	(325)	(160)	(162)	(195)
PBT	1,405	2,790	4,475	4,850	6,212
Share of Profit from JV	-	-	95	-	-
Profit before tax (post exceptional)	1,405	2,790	4,570	4,850	6,212
Provision for tax	(255)	(735)	(1,131)	(1,221)	(1,564)
Reported PAT	1,151	2,055	3,440	3,629	4,649
MI	(42)	43	111	333	383
Net Profit	1,192	2,012	3,329	3,296	4,265
Adjusted Profit (excl Exceptionals)	1,192	2,012	3,329	3,296	4,265
Balance Sheet	FY 20	FY 21	FY 22	FY 23E	FY 24E
Equity capital	745	776	800	800	800
CCPS	-	-	-	-	-
Reserves	5,236	7,861	13,073	16,369	20,634
Net worth	5,981	8,637	13,873	17,169	21,434
MI	125	125	233	4,042	4,426
Non Current Liabilities	3,656	2,816	2,817	2,826	3,135
Current Liabilities	2,188	2,783	2,150	3,127	3,558
TOTAL LIABILITIES	11,950	14,362	19,073	27,164	32,553
Non Current Assets	9,761	9,850	10,633	14,992	17,729
Fixed Assets	8,334	8,555	8,230	10,761	13,498
Goodwill	848	848	848	2,676	2,676
Non Current Investments	-	-	-	-	-
Deferred Tax Asset	14	29	32	32	32
Long Term Loans and Advances	47	164	175	175	175
Other Non Current Assets	517	253	1,348	1,348	1,348
Current Assets	2,190	4,512	8,440	12,172	14,824
Current investments	-	-	-	-	-
Inventories	304	241	364	419	513
Trade Receivables	1,323	1,098	1,286	1,498	1,834
Cash and Bank Balances	449	2,844	1,901	9,872	12,094
Short Term Loans and Advances	18	23	-	-	-
Other Current Assets	97	306	4,889	383	383
TOTAL ASSETS	11,950	14,362	19,073	27,164	32,553

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	1,192.3	2,011.9	3,328.7	3,295.9	4,265.3
Add: Dep. & Amort.	706.1	695.4	726.7	1,244.3	1,415.1
Cash profits (Inc)/Dec in	1,898.4	2,707.2	4,055.5	4,540.2	5,680.4
Sundry debtors	(90.0)	224.5	(188.2)	(211.3)	(335.8)
Inventories	(35.2)	62.9	(123.4)	(55.1)	(94.0)
Loans/advances	(9.7)	(121.6)	11.6	-	-
Other Current Assets	290.9	(227.8)	(879.9)	-	-
Current Liab and Provisions	95.9	58.8	(295.1)	226.4	38.2
Sundry Creditors	193.8	84.4	(23.4)	747.5	377.4
Change in working capital	445.7	81.1	(1,498.3)	707.5	(14.3)
CF from Oper. activities	2,344.1	2,788.4	2,557.2	5,247.6	5,666.1
CF from Inv. activities	(1,233.9)	(916.5)	(4,907.7)	(1,097.2)	(4,151.7)
CF from Fin. activities	(634.2)	523.9	953.7	3,820.8	707.8
Cash generated/(utilised)	476.0	2,395.8	(1,396.8)	7,971.2	2,222.3
Cash at start of the year	(27.5)	448.8	2,844.5	1,900.9	9,872.0
Cash at end of the year	448.5	2,844.6	1,447.7	9,872.0	12,094.3
Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	21.8	27.9	31.3	27.6	28.3
NPM	10.56	15.01	19.92	14.92	15.79
Tax rate	(18.1)	(26.4)	(24.7)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	22.3	18.5	24.1	32.4	22.4
Operating Profit	202.6	51.4	39.1	16.9	25.6
PBIT	611.7	72.8	47.1	8.0	28.7
PAT	(349.4)	68.7	65.5	(1.0)	29.4
Per Share (Rs.)					
Net Earnings (EPS)	16.01	25.93	41.59	41.18	53.30
Cash Earnings (CPS)	25.5	34.9	50.7	56.7	71.0
Dividend	-	-	-	-	-
Book Value	80.3	111.3	173.3	214.5	267.8
Free Cash Flow	22.0	29.3	31.2	19.3	24.2
Valuation Ratios					
P/E(x)	97.5	60.2	37.5	37.9	29.3
P/B(x)	19.4	14.0	9.0	7.3	5.8
EV/EBIDTA(x)	48.4	32.5	24.1	19.3	15.1
Div. Yield(%)	-	-	-	-	-
FCF Yield(%)	1.4	1.9	2.0	1.2	1.6
Return Ratios (%)					
ROE	20%	23%	24%	19%	20%
ROCE	20%	27%	29%	25%	26%

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